

Warsaw, October 5, 2022

Decision

DKE.561.15.2021

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text, Journal of Laws of 2021, item 735, as amended), Article 7 sections 1 and 2, Article 60, Article 101, Article 101a, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), and Article 57 section 1 letters a) and h), Article 83 sections 1-2, and Article 83 section 6 in connection with Article 58 section 2 letters e) and i) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data (Official Journal of the EU L 119 of May 4, 2016, p. 1 and Official Journal of the EU L 127 of May 23, 2018, p. 1, as amended), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on D. sp. z o.o. sp. k., with its registered office in P. at ul. (...) the President of the Personal Data Protection Office,

noting the failure of D. sp. z o.o. sp. k., with its registered office in P. at ul. (...) to comply with the order of the administrative decision of the President of the Personal Data Protection Office dated November 30, 2020 (case reference DS.523.3812.2020), imposes on D. sp. z o.o. sp. k. with its registered office in P. at ul. (...) an administrative monetary penalty in the amount of 9,139 PLN (in words: nine thousand one hundred thirty-nine zlotys).

JUSTIFICATION

Factual Background

On July 26, 2020, a complaint was submitted to the Personal Data Protection Office by Mr. R. Ż. (residing at ul. (...) E.), hereinafter referred to as the Complainant, regarding irregularities in the processing of his personal data by D. sp. z o.o. sp. k. with its registered office in P. at ul. (...) (hereinafter also referred to as the "Company"), consisting of processing his personal data for marketing purposes without legal basis and failing to take into account his objection to the processing of his data.

By decision dated November 30, 2020 (case reference DS.523.3812.2020), the President of the Personal Data Protection Office ordered the Company to eliminate the irregularities in the processing of R. Ż.'s personal data (residing at ul. (...) E.) by deleting his personal data concerning the phone numbers: (...) and (...). The decision was deemed delivered on December 18, 2020, based on Article 44 of the Code of Administrative Procedure (the letter was twice notified, first on December 4, 2022, and second on December 14, 2022, and was not collected within 14 days from the date of the first notification, and was returned to the sender). The decision referred to in point 2 of the justification was not appealed and became final on January 18, 2021.

Due to the lack of confirmation of the execution of the decision referred to in point 1, by letter dated February 12, 2021, the President of the Personal Data Protection Office summoned the Company to confirm its execution. The delivery of the letter took place on March 2, 2021 (substitute delivery based on Article 44 of the Act of June 14, 1960, the Code of Administrative Procedure (consolidated text, Journal of Laws of 2021, item 735, as amended) (hereinafter also referred to as "kpa") - the letter was twice notified, not collected, and returned to the sender). The Company did not respond to this summons.

By letter dated April 2, 2021, addressed to D. sp. z o.o., which is the general partner of D. sp. z o.o. sp. k., the President of the Personal Data Protection Office summoned the general partner to provide information on whether the order of the decision referred to in point 1 had been executed. The delivery of the summons took place on April 22, 2021 (substitute delivery based on Article 44 kpa - the letter was twice notified, not collected, and returned to the sender). No other information or evidence confirming the execution of the decision order was submitted to the President of the Personal Data

Protection Office, which constituted the basis for concluding that the decision order remained unexecuted.

In connection with the above, the President of the Personal Data Protection Office initiated this administrative proceeding under case reference DKE.561.15.2021 regarding the imposition of an administrative monetary penalty on D. sp. z o.o. sp. k. for non-compliance with the decision. The delivery of the letter to the Company with information about the initiation of this proceeding took place on August 5, 2021 (substitute delivery based on Article 44 kpa - the letter was twice notified, not collected, and returned to the sender). The letter contained a warning that non-compliance with the order issued by the supervisory authority is subject to an administrative monetary penalty of up to 20,000,000 euros, based on Article 83 section 6 of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L. 2016 No. 119, p. 1, as amended) (hereinafter also referred to as "GDPR"). The President of the Personal Data Protection Office also summoned the Company, for the purpose of determining the basis for the calculation of the administrative monetary penalty in this case, to present - within 7 days from the date of delivery of the letter - the financial report for the year 2020 or - in the absence of such a report - a statement regarding the financial result achieved by the Company in 2020 or to send other asset-related information, which...

The Company will consider it significant for the imposition of a fine in an amount proportional to its ability to pay. The President of the Personal Data Protection Office (UODO) informed that failure to provide the aforementioned data will result in the President of UODO determining the basis for the fine in an estimated manner, based on Article 101 a) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781). At the same time, the President of UODO reiterated that if the Company provides explanations and evidence of compliance with the decision of the President of UODO dated November 30, 2020 (ref. DS.523.3812.2020), this circumstance may mitigate the administrative monetary penalty imposed in this proceeding or may lead to a decision not to impose it. The above letter remained unanswered by the Company. As of the date of issuing this decision, the Company has not responded to the request to confirm compliance with the decision of the President of UODO dated November 30, 2020 (ref. DS.523.3812.2020). The Authority has also not received any other information indicating compliance with the decision.

Legal Justification

After reviewing all the evidence collected in the case, the President of UODO considered the following. According to the principle of accountability formulated in Article 5(2) of the GDPR, the controller is responsible for complying with the provisions of paragraph 1 of this provision (including, in accordance with the so-called principle of legality, for processing personal data "lawfully") and must be able to demonstrate compliance. The application of the principle of accountability in this case means that the Entrepreneur is obliged – particularly in proceedings before the President of UODO – to prove compliance with the order of the decision, which would be equivalent to restoring the processing of personal data to a lawful state. Such implications of the principle of accountability are confirmed by the doctrine of data protection law, according to which: "The statement that the controller should be able to demonstrate compliance with the principles can be interpreted as imposing on the controller the burden of proof regarding compliance with the principles of data processing. In the event of a dispute with the data subject or with the supervisory authority, the controller should be able to present evidence that it complies with the principles. Such evidence may primarily consist of documents related to the processing and protection of data." (P. Fajgielski [in:] Commentary on Regulation No. 2016/679 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) [in:] General Data Protection Regulation. Personal Data Protection Act. Commentary, Warsaw 2018). According to Article 83(6) of the GDPR - failure to comply with an order issued by the supervisory authority under Article 58(2) is subject to an administrative monetary penalty of up to EUR 20,000,000,

and in the case of an enterprise - up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying. According to Article 45 of the Code of Administrative Procedure (kpa) - documents are delivered to organizational units and social organizations at their registered office to the hands of persons authorized to receive documents. The provision of Article 44 of the kpa applies accordingly. Legal entities to which the provisions of the National Court Register (KRS) Act apply, to which the Company belongs, are obliged in the application for registration to indicate not only the registered office but also the address (Article 38(1)(c) of the KRS Act). It is presumed that the registered office and address of the legal entity entered in the register are true (Article 17(1) of the KRS Act). Until the new registered office and address of the company are disclosed in the National Court Register, the delivery of correspondence to the previous address, in the absence of information about another delivery address, is effective (see the judgment of the Supreme Administrative Court of February 12, 2008, II FSK 1704/06, LEX No. 470988). According to Article 44 of the kpa, in the event of inability to deliver a document in the manner specified in Articles 42 and 43 of the kpa, the postal operator, as defined by the Act of November 23, 2012 - Postal Law, keeps the document for a period of 14 days at its postal facility - in the case of delivery of the document by the postal operator. A notification of the placement of the document along with information about the possibility of its collection within seven days, counting from the day of leaving the notification in the place specified in § 1, is placed in the outgoing mailbox or, when this is not possible, on the door of the addressee's apartment, office, or other premises where the addressee conducts their professional activities, or in a visible place at the entrance to the addressee's property. In the event of failure to collect the shipment within this period, a repeated notification of the possibility of collecting the shipment is left within a period not exceeding fourteen days from the date of the first notification. Delivery is considered to have been made upon the expiration of 14 days from the date of the first delivery attempt, and the document is left in the case files. The purpose of the institution of substitute delivery under Article 44 of the kpa, which applied to documents directed by the Authority to the Company, is to prevent parties participating in the proceedings from obstructing the proceedings by deliberately evading receipt of correspondence. The institution of substitute delivery is based on the construction of a legal fiction consisting of recognizing that the delivery of the document has occurred, which in fact did not take place (see the judgment of the Supreme Administrative Court of February 8, 2021, ref.: I OSK 3697/18). It should be emphasized that the legal presumption of delivery of the document using the legal fiction of delivery under Article 44 of the kpa results in such an effect that it cannot be effectively...

raise the argument that the content of the letter did not reach the knowledge of the addressee (see judgment of the WSA in Łódź of February 1, 2022, ref. III SA/Łd 897/21), unless the application of Article 44 of the Administrative Procedure Code was defective due to non-compliance with the specific requirements of the substitute delivery procedure.

Referring the above-mentioned provisions to the established factual state of the case, it should be emphasized first and foremost that the burden of proving the execution of the decision regarding the processing of personal data based on the GDPR rests with the data controller - this follows directly from the accountability principle established in the GDPR (see point 10 of the justification of the decision).

D. sp. z o.o. sp. k. as the data controller and the addressee of the decision of the President of the UODO dated November 30, 2020, ref. DS.523.3812.2020, did not prove the execution of the decision, despite the summonses directed by the authority prior to the initiation of these proceedings regarding the imposition of an administrative monetary penalty, as well as the summonses directed during the course of these proceedings. These circumstances lead to the conclusion that the Company did not execute (or, in accordance with the terminology used by the EU legislator in Article 83(6) of the GDPR - "did not comply with") the aforementioned order of the administrative decision of the President of the UODO.

The fact that the summonses directed by the President of the UODO to the Company were delivered on the basis of substitute delivery is of no significance (see point 13 of the justification of the decision).

It is the duty of every organizational unit to ensure such an organization of receiving letters that the course of correspondence is continuous and uninterrupted and only through authorized persons. The results of negligence in this regard burden that very organizational unit (see: judgment of the Provincial Administrative Court in Gorzów Wielkopolski of October 18, 2018, ref. II SAB/Go 90/18 – LEX no. 2576144).

In light of the above findings, the President of the UODO states that in this case there are grounds justifying the imposition on the Company - pursuant to Article 83(6) of the GDPR - of an administrative monetary penalty for non-compliance with the administrative decision of the President of the UODO dated November 30, 2020, ref. DS.523.3812.2020.

Pursuant to the provisions of Article 83(2) of the GDPR, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of circumstances listed in points a) to k) of the aforementioned provision are taken into account. In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO considered - among them - the following circumstances that weigh against the assessment of the violation:

1. the nature, gravity, and duration of the violation (Article 83(2)(a) of the GDPR)

The Company's failure in this case, consisting of non-compliance with the administrative decision of the President of the UODO, which is the competent authority for the protection of personal data and the supervisory authority within the meaning of the GDPR, should be regarded as significantly undermining the system of personal data protection. Additionally, it should be emphasized - since the decision ordered the deletion of personal data - that non-compliance with the decision indicates further unlawful processing of that data. For this reason, the violation is of high gravity and reprehensible character. This gravity is further increased by the fact that this state has persisted since the date of the finalization of the administrative decision of the President of the UODO dated November 30, 2020, ref. DS.523.3812.2020, which became final on January 18, 2021, and should have been executed by that date.

2. the degree of cooperation with the supervisory authority in order to remedy the violation and mitigate its potential negative effects (Article 83(2)(f) of the GDPR).

During these proceedings regarding the imposition of an administrative monetary penalty on the Company, the Company did not undertake any cooperation with the President of the UODO. In particular, the Company did not provide any information requested by the President of the UODO in the proceedings for the execution of the decision order ref. DS.523.3812.2020.

In the opinion of the President of the UODO, the circumstance specified in Article 83(2)(b) of the GDPR, i.e., the unintentional nature of the violation, argues for a reduction of the established - taking into account the above-mentioned aggravating circumstances - amount of the penalty imposed by this decision, as there is no evidence in this case indicating that the Company intentionally evaded compliance with the decision ref. DS.523.3812.2020. The President of the UODO took into account the remaining circumstances for the determination of the administrative monetary penalty indicated in Article 83(2) of the GDPR; however, they did not have any impact (either aggravating or mitigating) on the assessment of the violation made by the President of the UODO, because:

Due to the specific nature of the violation (concerning the relationship between the controller and the supervisory authority, and not the relationship between the controller and the data subjects), the following circumstances could not be taken into account by the President of the UODO in this case:

- actions taken by the controller or processor to minimize the damage suffered by the data subjects (Article 83(2)(c) of the GDPR) - due to the fact that no damage occurred on the part of the data subjects.

physical entities, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;

the degree of responsibility of the administrator or the processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32 of the GDPR (Article

83(2)(d) of Regulation 2016/679) – due to the fact that the violation in itself is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
the categories of personal data affected by the violation (Article 83(2)(g) of the GDPR) – due to the fact that the violation is not associated with any breach of personal data.
the manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of the GDPR);

The information about the violation identified in this case was obtained by the President of the UODO ex officio by analyzing the course of the ongoing proceedings before him under reference DS.523.3812.2020. This is a natural way of obtaining information about such a violation resulting from the competence of the President of the UODO to assess the course of this proceeding and to determine what information is necessary for him to resolve the case at hand.

The remaining circumstances indicated below, referred to in Article 83(2) of the GDPR, after assessing their impact on the violation identified in this case, were deemed by the President of the UODO to have neither an aggravating nor a mitigating effect on the amount of the imposed administrative monetary penalty:

any relevant prior violations by the administrator or processor (Article 83(2)(e) of the GDPR);

The President of the UODO did not find any prior violations of data protection regulations committed by the Company, which is why there are no grounds to consider this circumstance as aggravating. Since such a state (compliance with data protection regulations) is a natural state resulting from the legal obligations imposed on the Company, it cannot also have a mitigating effect on the assessment of the violation made by the President of the UODO.

compliance with previously applied measures in the same case referred to in Article 58(2) of the GDPR (Article 83(2)(i) of the GDPR);

Before issuing this decision, the President of the UODO did not apply any measures listed in Article 58(2) of the GDPR to the Company in the case under consideration, which is why the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of the UODO, could have had an aggravating or mitigating effect on the assessment of the identified violation.

the application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of the GDPR);

The Company does not apply the instruments referred to in Articles 40 and 42 of the GDPR. However, their adoption, implementation, and application are not mandatory for administrators, as stipulated by the GDPR, which is why the circumstance of their non-application cannot be considered against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as measures guaranteeing a higher than standard level of protection of processed personal data could be taken into account in favor of the Company.

financial benefits obtained directly or indirectly in connection with the violation or losses avoided (Article 83(2)(k) of the GDPR);

The President of the UODO did not find that the Company, in connection with the non-compliance with the order, obtained any financial benefits or avoided such losses. Therefore, there are no grounds to consider this circumstance as aggravating for the Company. The determination of measurable financial benefits resulting from the violation of GDPR provisions should be assessed very negatively. On the other hand, the failure of the Company to achieve such benefits, as a natural state independent of the will and actions of the Company, is a circumstance that inherently cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of the GDPR, which requires the supervisory authority to pay due attention to the benefits "obtained" – which occurred on the part of the entity committing the violation.

other aggravating or mitigating factors (Article 83(2)(k) of the GDPR);

The President of the UODO, comprehensively considering the case, did not note any other circumstances than those described above that could have an impact on the assessment of the violation and on the amount of the imposed administrative monetary penalty.

According to the wording of Article 83(1) of the GDPR, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In the opinion of the President of the UODO, the penalty imposed on D. sp. z o.o. sp. k. in this proceeding meets these criteria.

The penalty imposed by this decision is, in the opinion of the President of the UODO, proportional to the seriousness of the identified violation and to the ability of the Company to bear it.

The Company without significant detriment to its operations. This penalty will also serve a deterrent function; it will be a clear signal to the Company, obligated under the provisions of the GDPR to cooperate with the President of the Personal Data Protection Office (UODO), that failure to comply with the decision of the President of UODO constitutes a serious violation and, as such, will be subject to financial sanctions.

Due to the Company's failure to provide the financial data requested by the President of UODO (see point 7 of the justification for the decision), in determining the amount of the administrative monetary penalty in this case, the President of UODO took into account, based on Article 101a(2) of the Personal Data Protection Act (u.o.d.o.), the estimated size of the Company as well as the specificity, scope, and scale of its operations, and also the most recent available financial report for 2020 submitted by the Company to the National Court Register (KRS).

In accordance with Article 103 of the u.o.d.o., the equivalent amounts expressed in euros referred to in Article 83 of the GDPR are calculated in Polish zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year - according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date.

Having the above in mind, the President of UODO, based on Article 83(3) and Article 83(4)(a) as well as Article 83(5)(e) of the GDPR, in connection with Article 103 of the u.o.d.o., for the violations described in the operative part of this decision, imposed on the Company – applying the average euro exchange rate from January 28, 2022 (1 EUR = 4.5697 PLN) – an administrative monetary penalty in the amount of 9,139 PLN (which is equivalent to 2,000 EUR).

Having the above in mind, the President of UODO ruled as stated in the operative part of this decision.

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 – Law on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended), the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw).

A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2022, item 329, as amended). According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781), the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the administrative court's ruling becoming final, to the bank account of the Personal Data Protection Office at NBP O/O Warsaw no. 28 1010 1010 0028 8622 3100 0000. Furthermore, according to Article

105(2) of the aforementioned Act, the President of UODO may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments.

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